**FBR Digital Invoicing — FAQs**

- **What is an Electronic Invoice?**

A tax invoice created digitally using electronic tools in a specified format qualifies as a structured electronic invoice. However, a paper invoice that is simply scanned or copied into digital form does **not** qualify as an electronic invoice.

- **What is Electronic Invoicing?**

It is a system that replaces traditional paper-based invoicing with a digital process, enabling buyers and sellers to exchange invoices, debit notes, and credit notes in a structured electronic format.

- **Is Electronic Invoicing Mandatory?**

Yes, as per S.R.O 709 dated 22nd April 2025, Electronic Invoicing is mandatory for all Corporate and Non-Corporate registered persons.

Currently, the following are specifically required to implement it:

- All importers and manufacturers of fast-moving consumer goods (FMCGs)
- All wholesalers (including dealers) and distributors of FMCGs
- All wholesaler-cum-retailers engaged in bulk import and supply of FMCGs to retailers
- **Who Can Configure the Software?**

Only a licensed integrator with a valid FBR license can configure a registered person's POS, ERP, or electronic invoicing software for real-time electronic transmission of sales tax invoices to FBR's server.

- **Who is Mandatory?**

Digital invoicing is mandatory for all corporate and non-corporate sales tax-registered individuals and businesses in Pakistan, including manufacturers, FMCG businesses, distributors, importers, and major retailers

Every valid digital invoice must contain:

- Buyer and Seller names, addresses, NTN, and STRN.
- Invoice number and date.
- Description, unit of measurement, and quantity of goods/services.
- Value exclusive of tax, tax rate, and tax amount.
- Total value including tax.
- Unique Invoice Reference Number (IRN) and verifiable QR code.

- **Who is a Licensed Integrator?**

A licensed integrator is an entity licensed under Chapter XIV-BB of the Sales Tax Rules, 2006, to carry out the integration of registered persons with FBR for the purposes of electronic invoicing.

- **Can I Delete or Modify an Invoice?**

Yes, under Pakistan tax laws, businesses can digitally modify or delete sales invoices within 72 hours of issuance through the FBR IRIS system.

- **IS IT MANDATORY TO INTEGRATE MY POS, ERP OR INVOICING SYSTEM THROUGH LICENSED INTEGRATOR?**

Yes, for registered persons notified by FBR, it is mandatory to integrate their Point of Sale (POS), Enterprise Resource Planning (ERP) or any other invoicing system with FBR through a licensed integrator having a valid FBR License for Integration. However, in order to provide facilitation and mitigate the hardships faced by the registered persons, it is intimated that as per the Rule l50XF of Chapter XIV of Sales Tax Rules 2006, PRAL shall act as licensed integrator for the purposes of rules l50XE, sub-rule (1) of rule l50XJ and rule 150XL and shall provide free of cost integration services to the registered persons on demand.

- **IS THERE ANY FEE TO BE PAID TO FBR BY REGISTERED PERSON OR LICENSED INTEGRATOR?**

No, a registered person liable to install the electronic invoicing system through a licensed integrator or any licensed integrator shall not be liable to pay any fee to FBR. However, the licensed integrator shall charge fee for configuration and integration of electronic invoicing software or point of sale software from the intermated persons not above the threshold as may be specified by the Board through a sales tax general order.

- **IS PHYSICAL VISIT TO FBR IS REQUIRED FOR INTEGRATION?**

No, Physical visit is not required for integration. Technical resources and help material will be available on FBR website.

- **HOW TO DOWNLOAD THE SOFTWARE, IF IS IT AVAILABLE ONLINE?**

There is no downloadable software. Technical documentation for integration is available for download here. https://fbr.gov.pk/di-technical-assistance/173967/173970

- **DOES TAXPAYER REQUIRE ANY COMMERCIAL SOFTWARE FOR INTEGRATION?**

Yes, registered persons notified by the Federal Board of Revenue may install any electronic invoicing software and integrate it with FBR through a licensed integrator having a valid license granted by FBR.

- **WHO CAN CONFIGURE THE SOFTWARE?**

Only a licensed integrator having a valid FBR license can configure a registered person's electronic invoicing software for real time electronic transmission of sales tax invoice to FBR's server.

- **WHAT IF TAXPAYER INTEGRATES AFTER NOTIFIED DATE?**

Registered persons notified to implement electronic invoicing may seek extension under the relevant rules. Taxpayers are subject to provisions of Sales Tax Act 1990 and Rules made there under. Any taxpayer that does not integrate by the extended deadline or contravenes any provision of this Act shall be liable to penal action under section 33 of the Act.

- **ARE THERE ANY PENALTIES FOR LICENSED INTEGRATORS FOR NOT BEING ABLE TO PROVIDE THE DESIRED SERVICE?**

Yes, licensed integrators are subject to provisions of Sales Tax Act 1990 and Rules made there under. Any licensed integrator, who contravenes any provision of this Act shall be liable to penal action under section 33 of the Act.

- **IN CASE OF BUSINESS INTERRUPTION, ON PART OF TAXPAYER WHAT WOULD BE THE RESPONSIBILITY OF THE TAXPAYER AND LI FOR REPORTING DURING INTERRUPTIONS SUCH AS:**

- Invoice issued on a particular date but goods could not be dispatched due to transportation issue
- Invoice issued, goods dispatched on a particular date but the internet system at part of registered person or LI of FBR gets/remains down for a day or more time. Registered persons and LI shall ensure that in all such eventualities, provisions of the Sales Tax Act 1990 and Sales Tax Rules 2006 are followed.

- **ARE THERE ANY PENALTIES FOR REGISTERED PERSONS NOT INTEGRATING WITHIN THE DESIRED TIMELINE?**

Registered Persons failing to comply with the Board's timelines issued for integration are liable to penalties defined in the section 33 of the Act

- **How can an E-invoice be cancelled?**

As per Section 9 of the Sales Tax Act 1990, Where a registered person has issued a tax invoice in respect of a supply made by him and as a result of cancellation of supply, or return of goods, or a change in the nature of supply, or change in the value of the supply, or any event such that the amount shown in the tax invoice or the return needs to be modified, the registered person may, subject to such conditions and limitations as the Board may impose, issue a debit or credit note.

- **If an integrated enterprise makes sales to an unregistered buyer avoids to disclose its particulars like CNIC, business address etc. How will that invoice be processed electronically?**

As per Section 23(1)(b) of the Sales Tax Act 1990, in case of supplies by manufacturer or importer to an unregistered distributor, the tax invoice shall contain the NIC or NTN of such unregistered distributors, as the case may be.

- **I intend to integrate with FBR'S E-invoicing system please explain a complete procedure for e-integration?**

The user manual for the complete step by step process can be accessed here: https://download1.fbr.gov.pk/Docs/20254171643756444DI-User-Manual.pdf

In sales tax return, the criteria for reporting of sales tax invoices is based on the definition of "time of supply" i.e. earlier of advance receipt or actual sale. Should the definition of "time of supply" be changed in the law so that the time of taxable supply coincides with "sale" i.e. invoicing?

Digital invoices shall be issued at the time of supply i.e., receipt of payment or delivery of goods, whichever is earlier, as provided under Section 2(44) of the Sales Tax Act, 1990

- **Multiple SKUs can share the same HS code but differ in sale/purchase types, which directly impacts the applicable tax rate.**

**Example:**
Product Name: RAFHAN AMB DSRT MANGO JELLY PQ5 96X80G
HS Code: 2007.9900
Sale/Purchase Type: Goods at standard rate (default)
Product Name: STRAWBERRY CUSTARD & STRAWBERRY JELLY 24X380G
HS Code: 2007.9900
Sale/Purchase Type: 3rd Schedule Goods
Clubbing them together would result in incorrect tax treatment and reporting inconsistencies.
Items having same HS Code but having different Stock Keeping Units (SKUs) can be seamlessly added as distinct items in an invoice using a unique description for the item. In the above example, both of the products have the same HS Code 2007.9900 but their description (deriving out of their product name) is completely unique and different.

- **I have local sales as well as export sales. Does e-invoicing apply to local sales only?**

You are required to issue a digital invoice for all sales to be reported in Annexure-C of sales tax return

- **What Happens If You Don't Integrate on Time?**

Registered persons failing to comply with FBR's integration timelines are liable to penalties under Section 33 of the Sales Tax Act 1990. However, they may seek an extension under Rule 150Y.

- **How Are Non-FMCG Supplies Reported?**

Any registered person falling in the FMCG supply chain category must also issue electronic invoices for their **non-FMCG** supplies.

- **What About Internet Downtime?**

In all such eventualities — such as goods dispatched but internet is down — the Supply Chain Operator (SCO) and Licensed Integrator (LI) must ensure that provisions of the Sales Tax Act 1990 are followed.

## FBR Policy & Applicability

- **I am already registered with FBR, why do I need to do this Digital invoicing?**

Standard FBR registration means you are a recognized taxpayer, but Digital Invoicing is a mandatory real-time compliance upgrade under SRO 288(I)/2026. It requires your sales system to instantly report every invoice to the FBR portal at the exact moment of transaction.

- **My lawyer does all this for me, why do I still have to do this digital invoicing?**

Your lawyer handles historical, monthly, or annual tax filings, whereas Digital Invoicing happens dynamically at the point of sale. Because it must be generated instantly from your billing system during a transaction, it requires an automated software solution like DigiTex rather than manual lawyer intervention.

- **I have not so much business, why do I need to comply?**

FBR's digital invoicing mandates are based on specific business sectors, categories, or turnover thresholds rather than high transaction volumes. If your business sector falls under the declared SRO regulations, compliance is legally required regardless of whether your monthly transaction count is high or low.

- **In some months I have Zero invoicing, is it still required for me?**

Yes, compliance remains mandatory. The system stays active to monitor your business status, and when you do have zero invoicing, you will simply submit a "Null" or "Zero" return for that period, keeping your system legally aligned with FBR regulations.

- **I have all export customers, I have nothing to do with FBR?**

Even with a 100% export-based clientele, your business is still registered within Pakistan and must legally document its outward trade volume. DigiTex ensures your export invoices are correctly reported to the FBR with zero-rated tax codes to maintain your clean compliance record and smooth export processing.

- **We don't fall in this category, why is it bothering me?**

FBR is progressively expanding the scope of digital invoicing across various manufacturing, retail, and service sectors. If you have received a notice or see system prompts, it means your registered business activity code has been onboarded, making compliance necessary to avoid penalties.

- **We are registered with SRB, do I still need to comply with this digital invoicing?**

While the Sindh Revenue Board (SRB) governs provincial services tax, the FBR governs federal sales tax, income tax, and cross-border trade. If your business deals with goods or specific federal jurisdictions alongside your SRB registration, you must comply with FBR’s digital integration requirements.

- **We are dealing with consumers, not B2B. Do I still need to comply?**

Yes, FBR digital invoicing applies to both Business-to-Business (B2B) and Business-to-Consumer (B2C) models. For retail or direct consumer sales, your system acts as an integrated Point of Sale (POS) that prints an FBR-verifiable QR code directly onto the customer's receipt.

- **We do file returns on a monthly basis, why do I need this?**

Monthly return filing is a retrospective process done after the month ends, while Digital Invoicing is a live, transactional requirement. Implementing this integration automatically populates your monthly Annexure-C, making your monthly filing error-free, faster, and perfectly reconciled.

**Integration, Features, & Technicals**

- **Why do we need FBR integration?**

FBR integration is legally required to bridge the gap between your local invoicing system and the national tax portal. Without an automated API integration like DigiTex, your business cannot legally issue valid, tax-compliant invoices to your clients.

- **What happens if we do not integrate?**

Non-compliance can result in severe legal and operational penalties, including heavy financial fines, the sealing of business premises, or the blacklisting of your Sales Tax Registration Number (STRN), which stops you from conducting business completely.

- **What documents are required for integration?**

To initiate integration, we require your company’s NTN/STRN details, an active FBR portal login or API access credentials, and brief technical specifications of your current ERP, POS, or accounting software.

- **What support do you provide after implementation?**

NatureTech provides dedicated, round-the-clock technical support, including continuous system monitoring, troubleshooting, and free updates whenever the FBR changes its API schemas or tax regulations.

- **What are the benefits of Integration?**

Beyond legal compliance, integration automates your tax calculations, eliminates manual data entry mistakes, speeds up monthly sales tax filings, and builds corporate trust with clients who require verified FBR invoices.

- **How can we verify that invoices are successfully reported to FBR?**

Every invoice processed through DigiTex receives a unique FBR Invoice Number and a live QR code. You or your client can scan this QR code with the official FBR "Maloomat" app to instantly verify its successful registration on the government portal.

- **Can an invoice be edited after submission?**

Once an invoice is successfully submitted and locked on the FBR portal, it cannot be directly edited or deleted. Any corrections or financial adjustments must be legally processed using Debit or Credit Notes through the system.

- **Are credit and debit notes also reported?**

Yes, our DigiTex platform fully supports and automatically reports all Credit Notes (for sales returns) and Debit Notes (for price adjustments) directly to the FBR, keeping your ledgers perfectly balanced.

- **What is an API?**

An API (Application Programming Interface) is a secure software bridge that allows your local billing software to instantly communicate and exchange data with the FBR's central computer servers in milliseconds.

- **How secure is our business data?**

Your financial data is completely secure. DigiTex uses industry-standard end-to-end encryption to transmit invoice data directly to the FBR, meaning your internal business information remains private, safe, and protected from external access.

**NatureTech Capabilities & Contingencies**

- **Why should we choose your company for the integration when we can get the same service from another software house?**

NatureTech stands out because we provide a tailored, lightweight middleware approach designed specifically for SMEs and local workshops. We handle the entire end-to-end technical deployment, offer on-site trial testing during demos, and provide reliable, local support right when you need it.

- **How do we know your solution is fully compliant with SRO 288?**

Our software is purpose-built according to the precise technical guidelines and data schemas officially published by the FBR. We continuously test our systems in active sandbox environments to guarantee 100% compliance with SRO 288(I)/2026 guidelines.

- **Have you done similar integrations before?**

Yes, our engineering team has extensive experience deploying digital invoicing solutions, linking local business infrastructures, and building reliable API integrations that handle daily transactional data smoothly.

- **What if the integration fails?**

If a local system error occurs, DigiTex contains intelligent error-handling protocols that alert your IT team immediately. It safely queues your transactions locally so no sales data is ever lost, allowing you to re-sync them as soon as the issue is resolved.

- **What happens if FBR's system is down?**

If the central FBR servers experience downtime, DigiTex automatically switches to an offline storage mode. It safely holds your generated invoices and automatically pushes them to the FBR portal the exact moment government servers come back online.

- **Can we do this later instead of now?**

Delaying integration risks sudden operational disruptions and statutory compliance fines as deadlines approach. Activating DigiTex now protects your business from penalties, allows your staff to adapt smoothly without stress, and ensures uninterrupted business operations.